Type MS · Finding missing sales, purchases and balances

Answer 1 of 7 · Question 2 part a.i · 3 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part a.i in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	**Answer**	**Mark**
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Finding missing sales, purchases and balances

Answer 1 of 7 · Question 2 part a.i · 3 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part a.i in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Finding missing sales, purchases and balances

Answer 1 of 7 · Question 2 part a.i · 3 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part a.i in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 2 of 7 · Question 1 part b.i · 6 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.i in this mark scheme extract

1(a) **Award marks as indicated**

Stakeholder	Interest
Suppliers **(1)**	Payment of outstanding amounts **(1)**
Providers of external finance **(1)**	To ensure that repayments will be made **(1)**
Customers **(1)**	To check on continuity of supply **(1)**
Government **(1)**	To monitor profit for tax purposes **(1)**
Investors **(1)**	To check the security of their investment **(1)**
Owner **(1)**	To check whether the business is making profits **(1)**

Accept any other appropriate responses. **(4)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated** $53 800 **(6)** W **W** **$** 47 600 **(1)** 4 400 **(1)** (3 800) **(1)** 3 600 **(1)** 2 000 **(1)** 53 800 **(1of)** **OR** $53 800 **(6)** W **W**	**(6)**

Balance b/d	3 800 **(1)**	Cash book	47 600 **(1)**
Credit sales	48 200	Balance c/d	4 400 **(1)**
	52 000		52 000

$48 200 + $3 600 **(1)** + 2 000 **(1)** = $53 800 **(1of)**

Type MS · Finding missing sales, purchases and balances

Answer 2 of 7 · Question 1 part b.i · 6 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(ii)</td><td>
Award marks as indicated

$37 900 (4) W
W
$
38 200 (1)
1 600 (1)
(1 900) (1)
37 900 (1of)

OR

$37 900 (4) W
W
<table>
<tr><td>Cash book</td><td>38 200 (1)</td><td>Balance b/d</td><td>1 900 (1)</td></tr>
<tr><td>Balance c/d</td><td>1 600 (1)</td><td>Purchases</td><td>37 900 (1of)</td></tr>
<tr><td></td><td>39 800</td><td></td><td>39 800</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Type MS · Finding missing sales, purchases and balances

Answer 2 of 7 · Question 1 part b.i · 6 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.i in this mark scheme extract

Question number	Answer	Mark
1(c)	**Award marks as shown.** **Award 1 mark for all correct labels.** **Abel** **Income statement for the year ended 31 March 2019**	**(6)**

	$	$
Revenue		53 800 **(1of)**
Cost of sales		
Opening inventory	8 600 **(1)**	
Purchases	37 900**(1of)**	
	46 500	
Closing inventory	(9 000) **(1)**	
		(37 500)
Gross profit		16 300 **(1of)**

Question number	Answer	Mark
1(d)	**Award up to 4 marks for comments on the change in liquidity and 1 mark for overall evaluation.** **Sample answer** Over the year liquidity has deteriorated **(1)** though both ratios are still satisfactory **(1).** Current (working capital) ratio indicates that the business was able to pay off its short-term liabilities in both years **(1).** Liquid (acid test) ratio indicates that the business may have difficulty paying off its immediate debts without having to sell inventory **(1).** Abel must take appropriate steps to improve his liquidity **(1).**	**(5)**

(TOTAL FOR QUESTION 1 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 3 of 7 · Question 1 part b.ii · 4 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.ii in this mark scheme extract

1(a) **Award marks as indicated**

Stakeholder	Interest
Suppliers **(1)**	Payment of outstanding amounts **(1)**
Providers of external finance **(1)**	To ensure that repayments will be made **(1)**
Customers **(1)**	To check on continuity of supply **(1)**
Government **(1)**	To monitor profit for tax purposes **(1)**
Investors **(1)**	To check the security of their investment **(1)**
Owner **(1)**	To check whether the business is making profits **(1)**

Accept any other appropriate responses. **(4)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated** $53 800 **(6)** W **W** **$** 47 600 **(1)** 4 400 **(1)** (3 800) **(1)** 3 600 **(1)** 2 000 **(1)** 53 800 **(1of)** **OR** $53 800 **(6)** W **W**	**(6)**

Balance b/d	3 800 **(1)**	Cash book	47 600 **(1)**
Credit sales	48 200	Balance c/d	4 400 **(1)**
	52 000		52 000

$48 200 + $3 600 **(1)** + 2 000 **(1)** = $53 800 **(1of)**

Type MS · Finding missing sales, purchases and balances

Answer 3 of 7 · Question 1 part b.ii · 4 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(ii)</td><td>
Award marks as indicated

$37 900 (4) W
W
$
38 200 (1)
1 600 (1)
(1 900) (1)
37 900 (1of)

OR

$37 900 (4) W
W
<table>
<tr><td>Cash book</td><td>38 200 (1)</td><td>Balance b/d</td><td>1 900 (1)</td></tr>
<tr><td>Balance c/d</td><td>1 600 (1)</td><td>Purchases</td><td>37 900 (1of)</td></tr>
<tr><td></td><td>39 800</td><td></td><td>39 800</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Type MS · Finding missing sales, purchases and balances

Answer 3 of 7 · Question 1 part b.ii · 4 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.ii in this mark scheme extract

Question number	Answer	Mark
1(c)	**Award marks as shown.** **Award 1 mark for all correct labels.** **Abel** **Income statement for the year ended 31 March 2019**	**(6)**

	$	$
Revenue		53 800 **(1of)**
Cost of sales		
Opening inventory	8 600 **(1)**	
Purchases	37 900**(1of)**	
	46 500	
Closing inventory	(9 000) **(1)**	
		(37 500)
Gross profit		16 300 **(1of)**

Question number	Answer	Mark
1(d)	**Award up to 4 marks for comments on the change in liquidity and 1 mark for overall evaluation.** **Sample answer** Over the year liquidity has deteriorated **(1)** though both ratios are still satisfactory **(1).** Current (working capital) ratio indicates that the business was able to pay off its short-term liabilities in both years **(1).** Liquid (acid test) ratio indicates that the business may have difficulty paying off its immediate debts without having to sell inventory **(1).** Abel must take appropriate steps to improve his liquidity **(1).**	**(5)**

(TOTAL FOR QUESTION 1 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 4 of 7 · Question 2 part a.ii · 3 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	Answer	Mark
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Finding missing sales, purchases and balances

Answer 4 of 7 · Question 2 part a.ii · 3 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Finding missing sales, purchases and balances

Answer 4 of 7 · Question 2 part a.ii · 3 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 5 of 7 · Question 1 part a · 5 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

Number		
1(a)	**Award marks as indicated.** $248 780 **(5)W** **W** **Alternative presentation**	**(5)**

	$	
Customer receipts	234 800	**(1)**
Discount allowed	3 740	**(1)**
Closing balance	41 790	**(1)**
Opening balance	(31 550)	**(1)**
Credit sales	248 780	**(1of)**

Details	$	Details	$
Balance b/d	31 550 **(1)**	Cash book/ Discount allowed	3 740 **(1)**
Sales day book / Credit sales	248 780 **(1of)**	Cash book	234 800 **(1)**
		Balance c/d	41 790
	280 330		280 330
Balance b/d	41 790 **(1)**		

Type MS · Finding missing sales, purchases and balances

Answer 5 of 7 · Question 1 part a · 5 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(15)**

Tim

Income statement for the year ended 30 April 2023

	$	$
Revenue		248 780 **(1of)**
Cost of sales		
Opening inventory	27 280	
Purchases	139 000 **(1)**	
Goods for own use	(3 950) **(1)**	
Carriage inwards	1 385 **(1)**	
	163 715	
Closing inventory	(20 130) **(1fb)**	(143 585) **(1)**
Gross profit		105 195 **(1of)**
Expenses		
Discount allowed	3 740 **(1)**	
General expenses	68 350 **(1)**	
Advertising	1 865 **(1)**	
Carriage outwards	1 090 **(1)**	
Wages	5 850 **(1)**	
Depreciation - equipment	17 160 **(1)**	98 055 **(1)**
Profit for the year		7 140 **(1of)**

Type MS · Finding missing sales, purchases and balances

Answer 5 of 7 · Question 1 part a · 5 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award 1 mark for identification of correct concept. Award up to 2 marks for development.** **Sample answer** The adjustment was made in compliance with the business entity concept **(1).** This states that the business is treated as separate from the owner **(1).** Therefore, this adjustment is necessary to avoid understating profits **(1).** **Accept any other appropriate responses.**	**(3)**

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** Once Tim has selected a method for depreciating a non-current asset, this should be used consistently **(1).** This will allow comparison of results from year to year **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Finding missing sales, purchases and balances

Answer 6 of 7 · Question 1 part a.i · 4 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a.i in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.** $67 350 **(4)W** **W** $48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)** **Alternative presentation**	**(4)**

	$		$
Balance b/d	48 200	Irrecoverable debt	850 **(1)**
Sales	235 000 **(1)**	Receipts	215 000 **(1)**
		Balance c/d	67 350
	283 200		283 200
Balance b/d	67 350 **(1)**		

Question Number	Answer	Mark
(ii)	**Award marks as indicated.** $42 250 **(3) W** **W** $37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)** **Alternative presentation**	**(3)**

	$		$
Payments	135 125 **(1)**	Balance b/d	37 500
Balance c/d	42 250	Purchases	139 875 **(1)**
	177 375		177 375
		Balance b/d	42 250 **(1)**

Type MS · Finding missing sales, purchases and balances

Answer 6 of 7 · Question 1 part a.i · 4 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
(iii)	**Award marks as indicated.**	(13)

Romala
Statement of Financial Position at 31 August 2024

	$	$
Assets		
Non-current assets		
Motor vehicles		22 500 **(1)**
Current assets		
Inventory	32 600 **(1)**	
Trade receivables	67 350	
Other receivables	950 **(1)**	
Cash at bank **W1**	43 950 **(3)**	
		144 850
Total assets		167 350 **(1)**
Equity and liabilities		
Equity		
At 1 September 2023 **W2**	100 000 **(3)**	
Profit for the year	47 000 **(1)**	
Drawings	(21 900) **(1)**	
Total equity		125 100
Current liabilities		
Trade payables		42 250
Total equity and liabilities		167 350 **(1)**

Workings

W1
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

W2
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Finding missing sales, purchases and balances

Answer 6 of 7 · Question 1 part a.i · 4 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for a discussion of each concept.** **Award 1 mark for conclusion.** **Sample answer** By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)** She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)** I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Finding missing sales, purchases and balances

Answer 7 of 7 · Question 1 part a.ii · 3 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.** $67 350 **(4)W** **W** $48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)** **Alternative presentation** |	$ | | $ | | Balance b/d | 48 200 | Irrecoverable debt | 850 **(1)** | | Sales | 235 000 **(1)** | Receipts | 215 000 **(1)** | | | | Balance c/d | 67 350 | | | 283 200 | | 283 200 | | Balance b/d | 67 350 **(1)** | | |	**(4)**

Question Number	Answer	Mark
(ii)	**Award marks as indicated.** $42 250 **(3) W** **W** $37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)** **Alternative presentation** |	$ | | $ | | Payments | 135 125 **(1)** | Balance b/d | 37 500 | | Balance c/d | 42 250 | Purchases | 139 875 **(1)** | | | 177 375 | | 177 375 | | | | Balance b/d | 42 250 **(1)** |	**(3)**

Type MS · Finding missing sales, purchases and balances

Answer 7 of 7 · Question 1 part a.ii · 3 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
(iii)	**Award marks as indicated.**	(13)

Romala
Statement of Financial Position at 31 August 2024

	$	$
Assets		
Non-current assets		
Motor vehicles		22 500 **(1)**
Current assets		
Inventory	32 600 **(1)**	
Trade receivables	67 350	
Other receivables	950 **(1)**	
Cash at bank **W1**	43 950 **(3)**	
		144 850
Total assets		167 350 **(1)**
Equity and liabilities		
Equity		
At 1 September 2023 **W2**	100 000 **(3)**	
Profit for the year	47 000 **(1)**	
Drawings	(21 900) **(1)**	
Total equity		125 100
Current liabilities		
Trade payables		42 250
Total equity and liabilities		167 350 **(1)**

Workings

W1
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

W2
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Finding missing sales, purchases and balances

Answer 7 of 7 · Question 1 part a.ii · 3 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for a discussion of each concept.** **Award 1 mark for conclusion.** **Sample answer** By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)** She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)** I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS